AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Caris Life Sciences

22 October 2026 · the qualitative

$32.35

NASDAQ : CAI $9.14B mkt cap · 283M sh · $800M cash, $400M debt · FY25 revenue $812M (+97%!); GM 47%→65%, 68% in Q2'26; adj-EBITDA +$138M; · Mature- FCF-positive; IPO Jun-2025 @ $21, now $30.65 (+46%); FY26 guide raised $1.03-1.04B (+27-28%); ~$0.4B net cash; Halbert ~44% vote; Company DCF SBC ~$70M flatters adj-EBITDA; ~$33M of FY25 rev was reimbursement true-ups

THE CENTRAL QUESTION

After doubling on a beat-and-raise, Caris trades ~8x sales — level with Tempus — with the base case ~37% below the price: is the market right to pay now for Caris Detect and the data platform before either shows revenue?

Caris Life Sciences is an AI precision-oncology diagnostics company — whole-exome/transcriptome tumor profiling plus blood-based testing — that IPO'd June 2025 at $21.00 and now trades $30.65 after doubling since July on a beat-and-raise (Q2'26 revenue +45%, gross margin 68%, FY26 guide raised to $1.03-1.04B) and favorable preliminary 2027 Medicare rates. At ~8x sales it is priced level with Tempus, while owner free cash flow runs ~zero this year as it builds out Caris Detect, a cash-pay screening test with no revenue yet. Weighted fair value $23.62, ~23% below spot; the base case ($19.35) sits ~37% below, with ~73% of the probability mass at or below the price.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -40.2% · 73% at or below spot

$23.62 expected fair value today

-27.0% vs spot $32.35

FORWARD COMPOUNDED VALUE

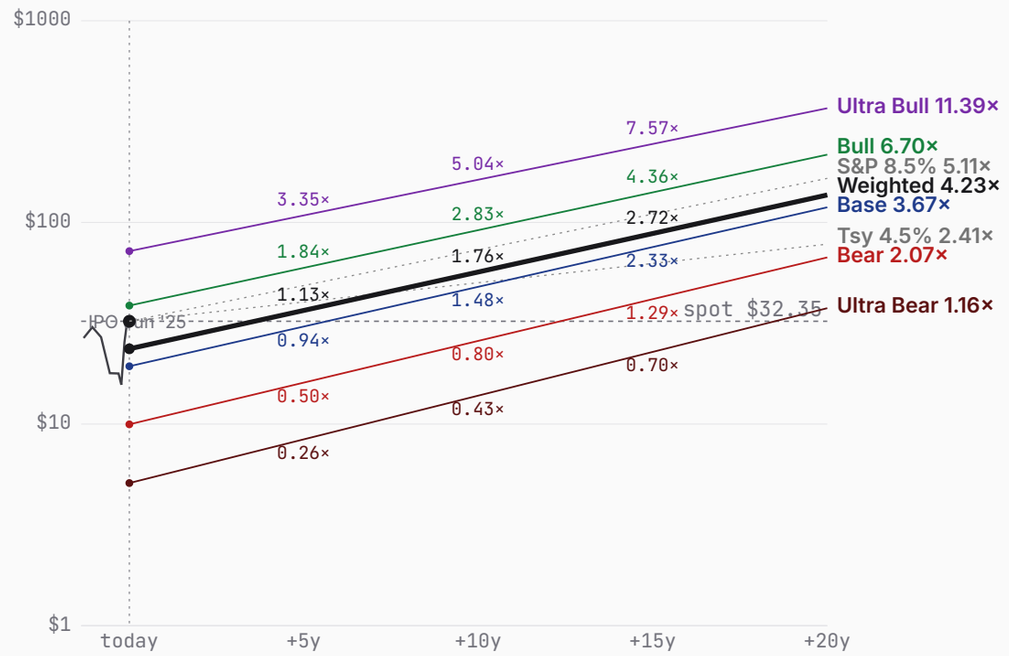
+5y	+10y	+15y	+20y
$36.61	$56.78	$88.11	$136.83
1.13× spot	1.76× spot	2.72× spot	4.23× spot

WEIGHTING RATIONALE

Ultra Bear 10% Q4 stumble then stall, growth ~6.6%, the true-up reverses, margins near zero — DCF $5.10.
Bear 27% Modest guide miss, decelerates to ~12%, the multiple re-rates down — DCF $9.97.
Base 36% ~17.4% growth, margin inflection holds to 21% owner-FCF — DCF $19.35, ~37% below spot.
Bull 18% ~22% hypergrowth, the data moat drives operating leverage — DCF $38.69.
Ultra Bull 9% ~27% growth, oncology-data standard, software-like 35% margins — DCF $72.05.

Bull (18%) + Ultra Bull (9%) together contribute $13.45 — 57% of the $23.62 expected value despite 27% combined probability. Today's spot ($32.35) sits 37% above the weighted expected; the forward-weighted value reaches spot in about 4 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$5.10	$9.97	$19.35	$38.69	$72.05
-84.2% vs spot	-69.2% vs spot	-40.2% vs spot	+19.6% vs spot	+122.7% vs spot
CAGR +6.6% WACC 10.5%	CAGR +12.0% WACC 10.0%	CAGR +17.4% WACC 9.5%	CAGR +22.1% WACC 9.0%	CAGR +26.8% WACC 8.5%
CAGR +6.6% Prob 10%	CAGR +12.0% Prob 27%	CAGR +17.4% Prob 36%	CAGR +22.1% Prob 18%	CAGR +26.8% Prob 9%
Q4 stumble, then stall	Decelerates; multiple ran ahead	Solid growth, the margin inflection holds	Hypergrowth + data-moat leverage	Becomes the oncology-data standard

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Caris Life Sciences scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 10% Bear 27% Base 36% Bull 18% Ultra Bull 9% · Weighted expected $23.62 (-27.0% vs spot)

ULTRA BEAR $5.10

-84.2% vs spot

Probability 10%

Q4 stumble, then stall

WHY 10%

Requires the volume engine to stall from Q4 onward and the true-up to be a one-off rather than a recurring feature of payer settlements. With H1'26 booked at +59% a 2026 collapse is arithmetically foreclosed, so the stall must arrive from FY27 — a longer conjunction than in July. Trimmed from 13% to 10%, the three points to the base.

WHAT HAPPENS

FY26 lands ~$983M after a Q4 stumble — a miss of the raised guide — and revenue then compounds only ~6.6% as test-volume growth stalls and reimbursement true-ups reverse rather than recur. The ~$81M of prior-period catch-ups booked in Q4'25 alone make the H2'26 comparison optically weak, and the reported growth rate is exposed as flattered.

Margins barely move off the floor — owner-FCF ~0% this year and only ~10% by FY30 — as price competition from Tempus, Guardant and Foundation erodes the gross-margin gains. The ~8x sales multiple compresses hard against a decelerating, low-margin base. DCF lands at $5.10, down 83%.

BEAR $9.97

-69.2% vs spot

Probability 27%

Decelerates; multiple ran ahead

WHY 27%

The honest deceleration case — the +27-28% guide is still a steep step-down from +97%, and a further slide plus pricing pressure is plausible. Held at 27% because the evidence is mixed: the guide was raised and the preliminary 2027 CMS rates went Caris's way, but Q2'26 clinical volume printed +18% (below the ~20% the flywheel needs), the pharma/data line ran ~$17M in H1 against a $75-85M guide — the data moat's direct monetization is lagging — and the rates stay preliminary until November.

WHAT HAPPENS

FY26 comes in ~$1.02B — a modest miss of the raised $1.03-1.04B guide — then growth decelerates from FY27 to ~12% compounded as the H2'25 true-up comps and per-test pricing pressure bite and the easy share gains slow. The margin inflection partly holds, reaching mid-teens owner-FCF, but not fast enough to outrun a contracting multiple.

The market re-rates an ~8x-sales name toward something closer to a low-double-digit grower, and the post-rally premium unwinds. At a 0%-to-15% owner-FCF path the DCF is $9.97, down 67%. The setup is a quality business priced ahead of its delivery.

BASE $19.35

-40.2% vs spot

Probability 36%

Solid growth, the margin inflection holds

WHY 36%

Centered on management hitting the raised FY26 guide and sustaining the volume KPI while margins keep inflecting — the continuation of what the last two years and H1'26 already showed. Raised from 33% to 36% with the points the ultra bear released as a 2026 collapse became foreclosed; still below the 45-55% modal norm because the ~20% volume threshold (+18% in Q2'26) and the pharma/data line are unproven.

WHAT HAPPENS

Revenue compounds ~17.4% off the raised $1.03-1.04B FY26 guide as clinical test volume grows ~20% and Caris Assure, MI Cancer Seek and the MolDX-covered ChromoSeq myeloid assay (May-2026) add incremental lives. Gross margin already reached 68% in Q2'26; owner-FCF is ~1% this year under the Detect build-out, then leverages toward 21% by FY30.

This is the modal outcome — a real growth-plus-margin story that delivers, not a moonshot. At $19.35 the DCF sits ~37% below the $30.65 price — executing the plan no longer clears spot; the market has moved past the base case.

BULL $38.69

+19.6% vs spot

Probability 18%

Hypergrowth + data-moat leverage

WHY 18%

Needs growth to stay above 20% well past the raised guide and the gross-margin gains to keep compounding into operating leverage. No FY27 guide exists and Caris Detect has no disclosed revenue, so the condition is not yet evidenced; held at 18%.

WHAT HAPPENS

Revenue compounds ~22% as the proprietary whole-exome/transcriptome data asset and the ADAPT platform drive both test volume and pharma partnership revenue, while comprehensive profiling takes share from narrower NGS panels.

Operating leverage on a fixed data and lab base pushes owner-FCF from ~2% this year toward 29%, software-like for diagnostics. The market rewards durable hypergrowth plus a widening margin with an expanded multiple. DCF reaches $38.69, up 26%, as the data-moat thesis starts to show in the financials.

ULTRA BULL $72.05

+122.7% vs spot

Probability 9%

Becomes the oncology-data standard

WHY 9%

The full platform win — durable hypergrowth, a true data-network effect, and software-like margins together. Each is individually demanding and the combination is a tail, so it carries 9% — meaningful upside optionality, not a central expectation.

WHAT HAPPENS

Revenue compounds ~27% as Caris establishes its molecular database as the reference standard for oncology decision-making, with comprehensive profiling, blood-based MRD and the ADAPT AI layer compounding into a network where more tests improve the data and the data wins more tests. Caris Detect (launched Jul-2026: $3,500 cash-pay, no coverage, capacity being tripled to ~$3B, demand ahead of plan; ACHIEVE-1 stage I-II sensitivity 61%, specificity 95%) is unpriced optionality on top — no FDA filing, so outside the 2028 Medicare MCED pathway — narrated here, not modeled.

Owner-FCF margins reach ~35%, approaching software economics as the data and AI layer scales near-zero-marginal-cost. At $72.05 the DCF is ~2.4x the price. This is the platform outcome where the cornered data resource and scale economics fully express.

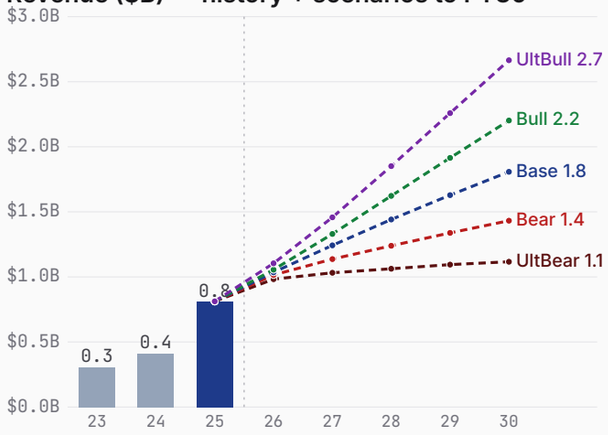
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Caris Life Sciences business snapshot

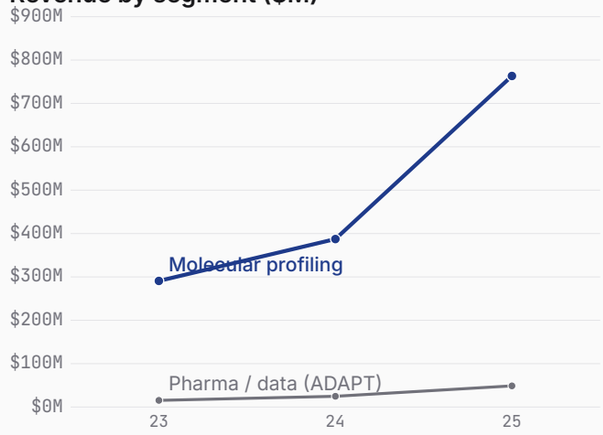
Bear $9.97 Base $19.35 Bull $38.69

FY23-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · FY2025 + H1'26 results (IPO Jun'25)

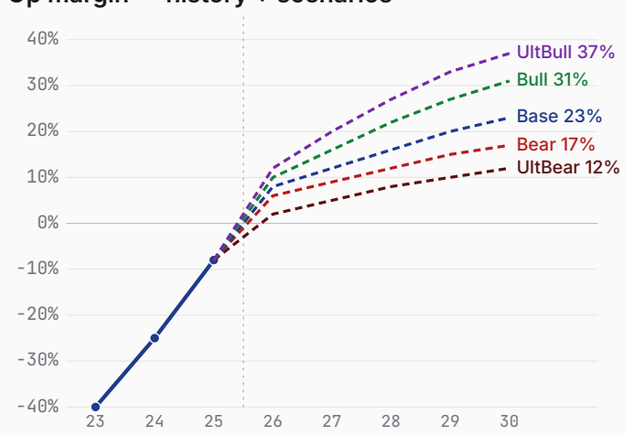
Revenue ($B) — history + scenarios to FY30



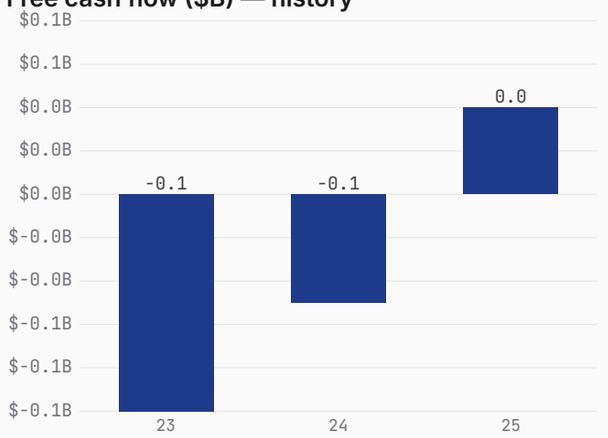
Revenue by segment ($M)



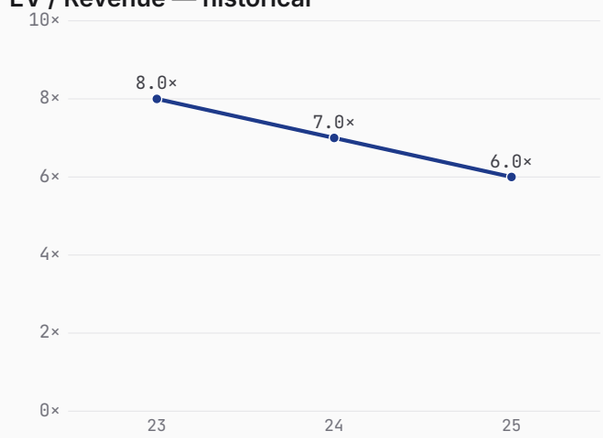
Op margin — history + scenarios



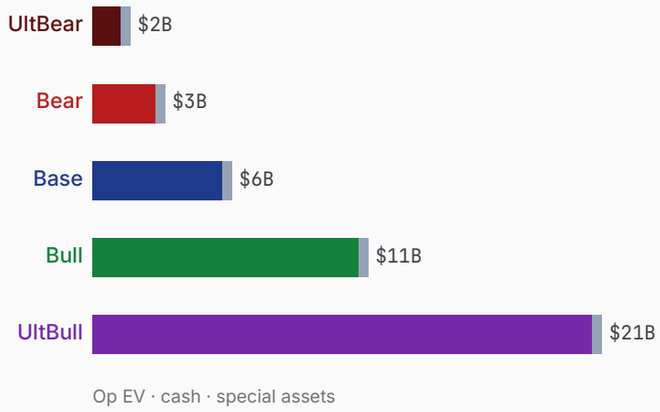
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: Caris Life Sciences FY2025 results + H1'26 (Q2 8-K 2026-08-05; CIK 2019410), IPO 424B4 (Jun 2025), raised FY26 guidance. Revenue as a growth-rate path off FY25 ($812M, +97%); FCF = revenue x an SBC-adjusted owner-FCF margin (~0% in FY26 under the Detect build-out; SBC ~$70M deducted); Gordon terminal at scenario WACC. Pre-IPO history/EV-rev are notional. EV/sales vs precision-diagnostics peers.

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Caris Life Sciences 7 Powers · the moat, scored

Bear $9.97 Base $19.35 Bull $38.69

Arena. Comprehensive molecular diagnostics and oncology data — Caris competes with Tempus, Guardant, Roche's Foundation Medicine, Natera and Abbott (Exact Sciences, acquired Mar-2026) for tumor-profiling and liquid-biopsy volume. The Caris Detect launch (Jul-2026) adds a cash-pay multi-cancer early-detection front versus Grail's Galleri and Exact's Cancerguard, where Medicare coverage under the 2026 MCED Act is gated on FDA approval — a pathway Grail has entered (FDA panel Sep-2026) and Caris has not.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies ■■□	Fixed lab and data-platform costs leverage as test volume compounds; +97% growth drove gross margin 47% to 65%.
Network Economies ■■□	More tests enrich the molecular database, which sharpens the ADAPT AI and wins more clinician and pharma demand.
Counter-Positioning ■□□	Whole-exome/transcriptome depth is hard for pure-NGS-panel incumbents to match without re-tooling, but not a true business-model trap.
Switching Costs ■□□	Clinician workflow integration and longitudinal patient data create some stickiness, modest versus entrenched EHR or pathway tools.
Branding ■□□	Growing reputation in oncology decision support, but clinical results and reimbursement, not brand, drive adoption.
Cornered Resource ■■□ ◂ thesis leans here	The proprietary whole-exome/transcriptome dataset plus the ADAPT platform — the deepest differentiator and the basis of the data moat.
Process Power ■□□	Integrated profiling-plus-AI workflow is hard to replicate quickly, but rivals are closing on capability.

PEER SET

Tempus (TEM) 25% gr · ~8.5x sales
AI-precision-oncology data peer; owner-FCF still negative, the direct comp — Personalis merger S-4 filed (~$1.5B all-stock, close late-2026/early-2027) to build MRD; FDA-approved xT CDx (May-2026) unlocks unified ADLT pricing from 2027

Guardant Health 37% gr · -10% mgn · ~6x sales
Liquid-biopsy leader, still loss-making; FY26 guide +36-38%; Liquid CDx FDA-approved May-2026, stepping to the $8,455 Medicare rate

Foundation Medicine · division
Roche-owned tumor-profiling division; deep-pocketed incumbent, not standalone-priced

Natera 31% gr · ~9x sales
Genetic testing and MRD; faster-growing, ~breakeven, richer multiple

THREAT VECTORS · FALSIFIERS

scale/pricing · Tempus, Guardant, Foundation
falsifier: Per-test pricing falls under payer and competitive pressure, halting the margin inflection — trips if gross margin falls below 65% (the FY25 level) for two consecutive quarters, or final CY2027 rates (Nov-2026) land below the preliminary $8,455 for MI Cancer Seek or $5,250 for Caris Assure. First test survived: the preliminary schedule cut ~1,100 codes but held or raised both; Q2'26 gross margin 68%.

Cornered Resource · Tempus, Roche, Natera
falsifier: A rival assembles a comparable comprehensive-profiling dataset before Caris's scale and network effects lock in — trips when a rival reports a completed dataset of at least 100,000 multimodal whole genomes, Tempus's first stated milestone (effort launched Sep-11-2026; 1M-genome goal). Tempus's ~$1.5B Personalis deal (S-4 filed) separately consolidates the MRD front. Not tripped: an effort is not a dataset.

Network Economies · well-capitalized incumbents
falsifier: Volume growth stalls below ~20% (Q2'26 printed +18%), so the data and scale flywheel never reaches the operating leverage the bull case needs. MRD is crowding: Natera Signatera ~283k tests (+56%), Guardant Reveal >2x, FoundationOne MRD (May-2026, Medicare-covered) and Tempus/Personalis are all ahead of Caris's two H2-2026 MRD launches, with MolDX and New York State decisions still pending.

COMPETITIVE READ

Caris is originating a plausible cornered resource — a proprietary whole-exome/transcriptome dataset feeding the ADAPT AI — with scale and network economics building as volume compounds, already visible in the 47%-to-68% gross-margin move. Durability is medium, not high — Foundation has Roche's balance sheet, Tempus has now moved on the core dataset (100k genomes, Sep-2026) as well as MRD, and reimbursement pricing is the shared vulnerability, though it held its first, preliminary test. The falsifier the bull must clear is sustained ~20%+ volume growth (Q2'26: +18%) with the gross margin holding the high-60s; Detect's screening front is contested with Grail on an FDA/Medicare pathway Caris has not entered.

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Caris Life Sciences show your work

Bear $9.97 Base $19.35 Bull $38.69 · Weighted $23.62 (-27.0%)

ULTRA BEAR $5.10

ASSUMPTIONS

5y revenue CAGR (%)	+6.6
Year-5 op margin (%)	12.0
WACC (%)	10.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.11B
Starting revenue ($B)	0.81
Scenario probability (%)	10

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.98	+2%	+0.00	+0.00
FY27	1.03	+5%	+0.03	+0.03
FY28	1.06	+8%	+0.06	+0.05
FY29	1.09	+10%	+0.09	+0.06
FY30	1.12	+12%	+0.11	+0.07

Σ PV explicit FCF	+0.20
+ PV terminal (g 3.0%)	0.93

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.13B
+ Cash & investments	$0.80B
− Total debt	$0.40B
= Equity value	$1.53B
FY30 shares (M)	300
= Expected per share	$5.10

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$8.40	$13.84	$22.80	$37.57
0.26×	0.43×	0.70×	1.16×

BEAR $9.97

ASSUMPTIONS

5y revenue CAGR (%)	+12.0
Year-5 op margin (%)	17.0
WACC (%)	10.0
Terminal growth (%)	3.5
Terminal FCF ($B)	$0.21B
Starting revenue ($B)	0.81
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.02	+6%	+0.00	+0.00
FY27	1.14	+9%	+0.08	+0.07
FY28	1.24	+12%	+0.12	+0.09
FY29	1.34	+15%	+0.17	+0.12
FY30	1.43	+17%	+0.21	+0.13

Σ PV explicit FCF	+0.41
+ PV terminal (g 3.5%)	2.13

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.54B
+ Cash & investments	$0.80B
− Total debt	$0.40B
= Equity value	$2.94B
FY30 shares (M)	295
= Expected per share	$9.97

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$16.06	$25.86	$41.65	$67.07
0.50×	0.80×	1.29×	2.07×

BASE $19.35

ASSUMPTIONS

5y revenue CAGR (%)	+17.4
Year-5 op margin (%)	23.0
WACC (%)	9.5
Terminal growth (%)	4.0
Terminal FCF ($B)	$0.38B
Starting revenue ($B)	0.81
Scenario probability (%)	36

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.04	+8%	+0.01	+0.01
FY27	1.24	+12%	+0.12	+0.10
FY28	1.44	+16%	+0.20	+0.15
FY29	1.63	+20%	+0.29	+0.20
FY30	1.81	+23%	+0.38	+0.24

Σ PV explicit FCF	+0.71
+ PV terminal (g 4.0%)	4.56

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.27B
+ Cash & investments	$0.80B
− Total debt	$0.40B
= Equity value	$5.67B
FY30 shares (M)	293
= Expected per share	$19.35

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$30.46	$47.95	$75.49	$118.84
0.94×	1.48×	2.33×	3.67×

BULL $38.69

ASSUMPTIONS

5y revenue CAGR (%)	+22.1
Year-5 op margin (%)	31.0
WACC (%)	9.0
Terminal growth (%)	4.5
Terminal FCF ($B)	$0.64B
Starting revenue ($B)	0.81
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.06	+10%	+0.02	+0.02
FY27	1.33	+16%	+0.19	+0.16
FY28	1.62	+22%	+0.33	+0.25
FY29	1.91	+27%	+0.48	+0.34
FY30	2.20	+31%	+0.64	+0.41

Σ PV explicit FCF	+1.18
+ PV terminal (g 4.5%)	9.64

EQUITY BUILD · $B & PER SHARE

Operating EV	$10.82B
+ Cash & investments	$0.80B
− Total debt	$0.40B
= Equity value	$11.22B
FY30 shares (M)	290
= Expected per share	$38.69

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$59.53	$91.59	$140.93	$216.83
1.84×	2.83×	4.36×	6.70×

ULTRA BULL $72.05

ASSUMPTIONS

5y revenue CAGR (%)	+26.8
Year-5 op margin (%)	37.0
WACC (%)	8.5
Terminal growth (%)	5.0
Terminal FCF ($B)	$0.93B
Starting revenue ($B)	0.81
Scenario probability (%)	9

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.10	+12%	+0.03	+0.03
FY27	1.46	+20%	+0.26	+0.22
FY28	1.85	+27%	+0.46	+0.36
FY29	2.26	+33%	+0.70	+0.51
FY30	2.67	+37%	+0.93	+0.62

Σ PV explicit FCF	+1.74
+ PV terminal (g 5.0%)	18.61

EQUITY BUILD · $B & PER SHARE

Operating EV	$20.35B
+ Cash & investments	$0.80B
− Total debt	$0.40B
= Equity value	$20.75B
FY30 shares (M)	288
= Expected per share	$72.05

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$108.34	$162.90	$244.95	$368.32
3.35×	5.04×	7.57×	11.39×

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Caris Life Sciences People · Opportunity · Context · Deal

Bear $9.97 Base $19.35 Bull $38.69

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

David D. Halbert · `founder-led` — 18 yrs in seat

44%
insider ownership

HIGH
key-person risk

Capital allocation (realized)
IPO'd Jun-2025 at $21.00, raising ~$494M gross; FY2025 cash & equivalents jumped to $796.3M (from $64.0M FY24), ~$418M net cash. The inflection: FY2025 operating cash flow turned positive at +$83.2M (vs -$245.2M FY24) and, against ~$16.3M capex, free cash flow went positive ~+$67M near GAAP breakeven. R&D $101.6M FY25; no dividend; a $100M buyback authorized Jun-2026. SBC $70.0M FY25 (from $18.6M, IPO-driven) flatters adj-EBITDA. Apr-2026: a $400M Blue Owl/Blackstone term loan (SOFR+5.00%, 2031) replaced the 2023 loan, plus a $300M acquisition delayed-draw — explicit M&A capacity; buyback executed 1.0M shares for $17.9M; Q2-2026 FCF $6.4M as a ~$47M Detect inventory build absorbed OCF.

Incentive alignment
FY2025 total compensation ~$20.35M, ~96% equity/option awards granted around the June 2025 IPO and only ~3.8% (~$0.77M) base salary — a normal salary, not a nominal $1. The dominant alignment lever is the founder stake (~44% economic, ~$2.3B at the FY2025 price), not annual cash pay.

GOVERNANCE FLAGS

- single class of common stock, one vote per share (no dual-class / super-voting) — confirmed in the final 424B4, the post-IPO charter, 10-K Exhibit 4.2 and SEC XBRL; the draft S-1's Class A/B 10-vote language was dropped before the IPO
- founder David Halbert is the largest holder at ~44.6% economic = ~44.6% of the vote (single-class) — significant influence, below an outright majority; insiders together ~66%
- combined Founder + Chairman + CEO (Halbert), with a lead independent director (Peter Castleman) as the counterweight
- majority-independent board (8 of 10), fully independent Audit + Compensation committees, no standing nominating committee; the prospectus's 'may become a controlled company' language was conditional, never affirmed
- related-party: aircraft agreements with Halbert-affiliated entities (Caris Air), ~$1.6-2.1M/yr net; co-founder Jon Halbert on the board since 2014
- material weakness in internal controls (FY25 10-K; remediating, no restatement); open DOJ civil investigative demand (Mar 2025, False Claims Act, Medicare 14-day rule; a 2022 ~$2.9M settlement covered the same rule)
- Aug-Sep 2026 option-related insider sales ~$28M (Spetzler, Brille, Poste); CEO Halbert sold nothing; director Jon Halbert bought $990K (May-2026)

THE FOUR LEGS

People
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
`-27.0% vs spot $32.35`

PEOPLE READ

Founder-Chair-CEO Halbert is the largest holder at ~44.6% on a clean single-class one-vote register (no super-voting — the draft S-1's dual-class was dropped before the IPO), giving significant influence below an outright majority; the board keeps fully-independent Audit/Comp, 8-of-10 independence and a lead independent director, and he is aligned via the stake + a fresh FCF inflection + a new $100M buyback — with the combined Chair/CEO, the ~44.6% concentration, and a Halbert-affiliated aircraft related-party the offsets. The unremediated material weakness and open DOJ inquiry are new integrity-class flags; the score holds at 3 but sits at the 3/2 boundary.

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Caris Life Sciences supporting analysis · disclaimers · glossary

Bear $9.97 Base $19.35 Bull $38.69

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Still cheaper than Tempus**
At ~8.0x the FY26 guide vs Tempus at ~8.7x, Caris is marginally cheaper and already FCF-positive where Tempus is not — but the July discount has closed.

2 **The margin inflection is real**
Gross margin went 47%→65% in FY25 and 68% in Q2'26, with ~+$27M of GAAP operating income in the quarter — observed leverage, not promised.

3 **Comprehensive profiling is differentiated**
Whole-exome + whole-transcriptome is deeper than rivals' pure-NGS panels, and the data asset compounds — a cornered resource as volume scales.

4 **Reimbursement went Caris's way**
CMS's preliminary 2027 fee schedule held MI Cancer Seek at $8,455 and raised Caris Assure to $5,250 while cutting ~1,100 codes — the pricing leg held.

5 **Detect is upside no scenario carries**
Caris Detect (Jul-2026, $3,500 cash-pay) has demand ahead of plan; the model already charges its build-out (FY26 owner-FCF ~1%) but books its revenue in no scenario — any uptake is upside.

FALSIFICATION TRIGGERS

Bull validation
Volume re-accelerating from +18% toward ~23%; gross margin holding high-60s; first disclosed Detect revenue; CMS final rates (Nov).

Bear validation
Revenue undershooting the raised $1.03-1.04B guide; pharma/data line missing its $75-85M guide (H1 $16.9M); MolDX/NYS going against Assure.

Reframe needed
Owner-FCF still negative through FY27 while adj-EBITDA is positive; material weakness unremediated at the FY26 10-K, or the DOJ inquiry escalating.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Comprehensive molecular profiling — Whole-exome (all coding genes) + whole-transcriptome (all RNA) tumor sequencing — broader than rivals' targeted NGS panels.

MI Cancer Seek — Caris's combined DNA/RNA tumor-profiling assay; reimbursement reach is measured in covered lives (>225M).

Caris Assure — The blood-based liquid-biopsy line, including minimal-residual-disease (MRD) monitoring — detecting cancer DNA in blood to track recurrence.

Test-volume KPI — Clinical test volume growth (~20% guided) — the operating metric that drives diagnostics revenue, watched independently of price/mix.

Adj-EBITDA vs owner-FCF — Adj-EBITDA adds back ~$70M of stock comp; owner-FCF treats SBC as a real cost, so it is the more conservative read of cash economics.

Reimbursement true-ups — Catch-up revenue booked when payers settle prior-period claims; ~$33M in FY25, ~$81M in Q4'25 alone — non-recurring, so it flatters growth.